



Artificial Intelligence Bubble

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1. Introduction

In June 2025, NVIDIA became the most valuable company in history surpassing market capitalization of \$3 trillion for the high demand for its artificial intelligence chips. Around the same time, OpenAI closed a \$40 billion funding, the largest venture capital deal ever recorded despite generating revenues that represent only a small fraction of that figure (Bloomberg, 2025). Also, recently, NVIDIA announced a \$20 billion strategic investment in OpenAI, a move that signals corporate conviction and belief in the AI ecosystem. The most powerful tech companies believe the AI industry is worth betting on. Every week, new AI startups are incorporated from Istanbul, to Montreal, to Silicon Valley, each attracting capital at a pace that would have been extraordinary five years ago. The main question that this paper asks, that capital markets are debating, is a simple but important one: is this sustainable?

Artificial intelligence rapidly became the most talked about theme of global financial markets. While AI's technological promise is strongly acknowledged, its financial implications raise deeper questions about how capital markets are functioning. From a financial systems perspective, they are serving several fundamental purposes: channeling savings toward their most productive uses, aggregating and transmitting information through prices, managing and sharing risk, and providing the institutional infrastructure through which capital flows across the economy. All of what we saw and learned is implicated in the AI boom. When venture capital floods into pre-revenue startups at unprecedented valuations, the question of whether capital is being channeled to its best uses or misallocated under the pressure of speculation becomes very important and central. Also, when price-to-earnings ratios for AI companies trade at levels that are nearly double the broader market, the price discovery function of financial markets deserves critical examination. And when large financial institutions, pension funds, and retail investors concentrate their portfolios around a handful of technology names, the risk becomes exponential and the risk-sharing function of our system is tested.

This paper investigates whether the current AI investment boom is grounded in economic fundamentals or whether it exhibits information about a speculative bubble; one that could, if it bursts, generate significant disruptions throughout the financial system. We will try to answer this question in four steps. First, we will document the scale and scope of the AI boom through investment data, equity market performance, and valuation metrics. Secondly, we then compare current conditions to what happened in the past, most notably the Dot-Com bubble of the late 1990s and early 2000s, while taking in consideration where AI is different and/or similar from that era. Third, drawing directly on the institutional framework developed in this course, we assess the potential consequences for financial markets and institutions if it was to burst soon. We would see the role of central banks such as the Federal Reserve and the Bank of Canada and how would they respond to the potential financial system stress. Finally, we will conclude on this

subject on whether AI represents a transformational and durable economic force or if markets are pricing a future that has not arrived yet which could lead to a burst.

History offers us two important and distinct cautionary precedents. We have the Dot-Com bubble that demonstrated how narrative-driven valuations in technology stocks can collapse catastrophically when earnings fail to become reality: NASDAQ fell about 78% between 2000 and 2002, wiping out trillions in wealth and forcing a painful reallocation of capital (Shiller, 2015). Almost a decade later, the 2008 financial crisis revealed a different lesson, how speculative excess concentrated in a single asset class (MBS) can cascade through interconnected financial institutions and destabilize the entire system (Mishkin, 2019). We bring those two events up not to suggest one led to the other, but because they both teach the same lesson: when investors pay prices based on excitement rather than real earnings, the eventual correction is brutal and cause serious economic damage.

Whether AI is revolutionary and a transformational technology like its creators tend to say or a powerful innovation whose short-term financial impact has been overstated, this is not a question with a simple answer. What is clear for investors, financial institutions, and the economy in general, is that there needs to be careful analysis.

2. The AI Boom

The AI boom is not merely a technological narrative; it is a financial phenomenon backed by hard data. From record-breaking venture capital flows to the unprecedented rise of chipmakers like NVIDIA, the numbers leave little room for doubt about this boom. Big companies such as Meta, Microsoft, Alphabet, Amazon and Oracle are projected to allocate \$342 billion to capex in 2025 which represents a 62% increase from last year (Aliaga, 2025). This amount reflects the first phase of AI investment which includes chips, servers and networking equipment. The second phase, which emphasizes infrastructures, is barely emerging meaning the full impacts of AI is likely to be ahead of us. Notably, AI-related capital expenditures already contributed 1.1% to U.S. gross domestic product growth in the first half of 2025 (Aliaga, 2025). This is a sign that the AI boom “is adding resilience to the economy at a time when consumption is softening and rates remain elevated” which shows that this sector is less sensitive to variables like interest rates, labor markets, and trade shocks compared to typical economic sectors (Aliaga, 2025). Compared to 2023 and 2024 U.S. GDP growth, 2025 did worse; 2023 growth was 2.9%, 2024 was 2.8% and 2025 was only 2.1% (BEA, 2025). Even though U.S. GDP growth slowed down, Investment-processing equipment and software represented only 4% of U.S. GDP but accounted for 92% of GDP growth over the first half of 2025 (Aliaga, 2025). This represents the impact of AI on the whole economy.

Another evidence of the AI boom is reflected in the remarkable stock performance of AI-related companies. A Morningstar basket of 34 AI stocks rose 50.8% over 2025, compared to

the S&P 17.8% gain confirming that this outperformance was not luck but a systematic trend (Teare, 2025). To add, many AI and tech companies such as NVIDIA, Alphabet, Micron, Seagate, Palantir, and IREN (just to name few) have significantly outperformed the S&P 500. They have respectively made a return of 39%, 65.3%, 240%, 226%, 135% and 285% in 2025. Strikingly, tech and communication services sectors alone accounted for 63.1% of the S&P 500's total return in 2025. This means that excluding those two sectors, the broader index would have returned a mere 6%. In other words, AI did not simply outperform the market, it carried the market (Teare, 2025).

From a capital markets perspective, the question is no longer whether AI stocks have outperformed, it is whether their current prices can be justified by fundamentals. The S&P 500's price-to-earnings ratio currently sits at around 28-29, above its 10-year historical average of 19.83x (MacroTrends, 2025). This premium signals markets are pricing in sustained exceptional growth rather than current earnings. Yet the tech sector tells a more striking story: according to Simply Wall Street, its average P /E ratio reached 46.2 in 2025; nearly double the broader market and more than double what the same sector traded at just a decade ago (Simply Wall Street, 2026). In 2016, the tech sector's PE sat at roughly 22x, barely below the S&P 500's 23.59x at the time (Simply Wall Street, 2026). Meaning the two were essentially in line with each other. Today, that gap has grown to over 17 points, a divergence that capital markets theory would attribute to a combination of genuine earnings growth and speculative premium. The latter being the more concerning component. In other words, the market is no longer just pricing what AI companies earn; it is pricing what investors hope they will earn a distinction that historically has not ended well. The most notable precedent remains the Dot-Com bubble where technology stocks trading at triple digit PE ratios collapsed, a parallel that will be examined in greater depth later in this paper. To sustain these elevated valuations, AI companies will need to deliver years if not decades of exceptional earnings growth, leaving virtually no room for disappointment.

This speculative dynamic is further reinforced by venture capital flows, where AI captured nearly 50% of all global funding in 2025 which represent \$202 billion and a 75% year-over-year increase (Teare, 2025). This surge in venture capital flows reflects a growing interest from institutional and private investors to gain exposure to AI at the earliest possible stage which results in flooding new companies with capital even before they have demonstrated revenues or profitability; a concentration of capital reminiscent of the internet boom of the late 1990s. At the individual stock level, price-to-sales ratios tell the same story: Palantir, one of the flagship of AI software companies, traded at a P/S ratio of 119x in 2025 which is more than triple its nearest peer and roughly 40 to 60 times the average S&P 500 company (Simply Wall Street, 2026) (Askola, 2025). At Palantir's valuation, not even four consecutive years of 40% revenue growth would bring its P/S down to a level considered reasonable by traditional standards, which

leaves them no margin for error. For institutional investors, a single earnings disappointment does not trigger a gradual repricing: it triggers a collapse of the underlying narrative which can cause a wealth loss felt by households, retail investors, and retirees.

Taking together these indicators, extraordinary stock returns, historically high valuations, unprecedented concentration of venture capital, and price-to-sales ratios that is outside of traditional valuation frameworks, suggests that the AI market shows either a speculative bubble and/or a boom where investor expectations have begun to meaningfully outpace the fundamentals. Unlike previous speculative episodes, such as the Dot-Com bubble, today's AI leaders are genuinely profitable (NVIDIA alone generated over \$60 billion in free cash flow in 2024). This distinction between the past and the present complicates the picture and demands a closer look on how today's conditions compare to the most relevant historical precedent: the Dot-Com Bubble of the late 1990s.

3. Comparative Case: AI vs Dot-Com

Having established the dimensions of the current AI boom, the following part turns to a critical question: does the pattern of investment and valuation we observe today with AI is similar to the dynamics that preceded historical market crashes? To answer this, we examine the Dot-Com Bubble of 1995–2002 as a comparative case, analyzing how that bubble formed, how its collapse carried through capital markets and financial institutions, and what similarities and differences exist with the current AI expansion.

3.1 The Dot-Com Bubble, Formation to Collapse and Impacts on Financial Institutions

Between January 1995 and March 10, 2000, the NASDAQ increased approximately 600%, rising from 751 to a high of 5,048, driven by extraordinary confidence for internet-based companies (International Banker, 2021). The scale of speculative excess was remarkable. Annual venture capital investment in the United States surged from roughly \$7 billion in 1995 to nearly \$100 billion by 2000, a 14x increase in five years, with internet companies absorbing close to 80% of all VC investments by 1999. The IPO market became the primary exit mechanism for early investors. In 1999 alone, 476 companies went public in the United States, many of them being internet startups with negative earnings (International Banker, 2021). Lots of them had big increases on their first day of issuance. VA Linux, for example, rose nearly 700% on its debut in December 1999 (CNN Business, 2019). Investment banks profited significantly from underwriting these IPOs. Most equity underwritings follow a firm commitment structure, where the investment bank purchases the entire share issue and resells it to investors, making the profit through a spread. This structure created a direct incentive for banks to promote and price as many IPOs as possible, regardless of the issuing company's actual financial health, since the bank's profit depended on completing the transaction rather than on the long-term success of the

firm. The result was a NASDAQ that reached a price-to-earnings ratio of approximately 200 at its peak, dominating historical data (Yahoo Finance, 2026).

The bubble's collapse that followed was severe. From its March 2000 peak, the NASDAQ fell 78% to a trough of 1,114 by October 2002, erasing over \$5 trillion in market capitalization (Red Lotus Capital, 2025). Over 50% of public dot-com companies had failed by 2004, and the NASDAQ did not recover to its March 2000 level until April 2015, a full 15 years later (Mason Boro Advisors, 2025). Crucially, the damage was not limited to technology stocks, it flowed through the entire financial system.

Looking back at the crash, we can identify many aspects that explain why this happened. First, the bubble was fueled by asymmetric information. Investors lacked the technical expertise to evaluate whether internet companies' technologies were viable, creating a classic adverse selection problem, in other words, the lemon problem. Bad companies were funded alongside good ones because investors could not reliably distinguish between them. Second, moral hazard was embedded in the structure of dot-com finance. Venture capitalist managers did not need their portfolio companies to be profitable because the IPO market allowed them to exit before business fundamentals mattered. As one VC admitted at the time, the company did not need to be successful for investors to make money (TED Ideas, 2024). This is precisely the principal-agent problem, where the incentives of managers and intermediaries diverge from those of the ultimate capital providers. This reaction from managers led to a fundamental breakdown in what the financial system is designed to do: channeling of funds from savers to borrowers, directing capital to where it can be most efficiently used.

When the bubble burst, the consequences fell through every layer of the financial system. The most immediate impact was the collapse of venture capital and IPO activity. VC funding, which had peaked at approximately \$112.3 billion in 2000, dried up as returns turned negative (Red Lotus Capital, 2025). Venture capital funding dropped by roughly 80% (Economics, 2026), and the IPO market essentially froze, from 476 IPOs in 1999, the number fell to just 80 in 2001 (International Banker, 2021). This represented a severe disruption to the financial system's function of pooling resources and enabling new enterprises to access capital at an efficient scale.

The Federal Reserve responded to these reductions in funding activities by cutting the overnight lending rate 11 times in 2001, from 6.5% to 1.75%, eventually reaching 1% by 2003 (TrendSpider, 2025). This is consistent with the central bank's mandate to conduct monetary policy and act as lender of last resort to provide liquidity during times of crisis. However, former Fed Chairman Bernanke later acknowledged that the low rates from this period helped inflate the housing bubble that triggered the 2008 financial crisis (Federal Reserve, 2010).

This demonstrates how a speculative episode in one sector can set off risks across the entire financial system, a factor that is highly relevant when evaluating the potential consequences of the current AI boom.

3.2 Comparing the AI Boom to the Dot-Com Bubble

The parallels between the current AI rally and the Dot-Com Bubble are in several dimensions. However, important structural differences exist that suggest the comparison is not straightforward. The following table summarizes the key indicators:

Indicator	Dot-Com Peak (1999–2000)	AI Boom (2024–2025)
P/E Ratio	~200x (NASDAQ)	~28–29x (S&P 500); ~46x (Tech sector)
Lead Company P/E (Cisco vs. NVIDIA)	~200x (Cisco)	~56x trailing; ~30x forward (NVIDIA)
VC Funding in Sector	\$100B (80% of all VC)	\$202B (~50% of all VC)
IPO Profitability	Only 14% of IPO tech firms profitable	Leading AI firms (NVIDIA, Microsoft) highly profitable
Market Concentration	NASDAQ dominated by ~5 stocks	Magnificent 7 account for ~63% of S&P 500 returns
Lead Company Revenue	Cisco: \$19B revenue at \$500B market cap	NVIDIA: \$130.5B revenue at ~\$3.4T market cap

Table 1: Comparative Bubble Indicators: Dot-Com Peak vs. AI Boom

First, several parallels are immediately visible. The concentration of market returns in a narrow set of technology stocks is comparable. During the Dot-Com era, a handful of companies (Cisco, Intel, Microsoft) drove NASDAQ performance, just as the “Magnificent Seven” dominate S&P 500 returns today, accounting for over 30% of the index’s total weight in 2025 (Yahoo Finance, 2026). This creates systemic fragility because if the leading AI stocks correct sharply, the broader index suffers disproportionately. Second, venture capital concentration has reached levels that exceed the dot-com peak in absolute terms, with AI capturing roughly \$202 billion and approximately 50% of all global VC funding in 2025 (Teare, 2025). This flood of capital into pre-revenue startups has similar evidence to the dot-com pattern where the financial system’s capital allocation function was distorted by narrative-driven optimism. Third, the emergence of thousands of AI startups worldwide, many of which simply append “AI” to their business plans, mirrors the “.com” phenomenon of the late 1990s, where the label itself attracted capital regardless of business viability due to asymmetric information.

Then, we also see differences needing careful consideration. The most important distinction is the presence of real, substantial earnings. NVIDIA reported full-year fiscal 2025 revenue of \$130.5 billion, representing 114% growth from the prior year, with data center revenue alone reaching \$35.6 billion in Q4 (NVIDIA Newsroom, 2025). This is categorically different from the dot-com era, where the leading infrastructure company, Cisco, had just \$19 billion in revenue supporting a \$500 billion market cap (Red Lotus Capital, 2025). While NVIDIA's trailing P/E of approximately 56x is certainly elevated, it is nowhere near Cisco's peak P/E of nearly 200x (Motley Fool, 2024). In valuation terms, the current AI boom, at least at its core, appears more anchored in fundamentals than its historical predecessor.

Second, the customer base supporting the AI boom is structurally stronger. Cisco sold primarily to cable and telecom companies, which typically carry significant leverage and have unpredictable capital expenditure cycles. NVIDIA's primary customers are Big Tech companies (Amazon, Microsoft, Alphabet) whose balance sheets are among the strongest in corporate history (Motley Fool, 2024). The financial strength of these companies reduces the risk that a demand slowdown triggers defaults. In the opposite, debt was a key transmission channel during the dot-com bubble. Telecom companies had taken on over \$500 billion in debt to build fiber optic networks, and when the bubble burst, they could not service those obligations anymore.

Third, the way the companies integrated the technologies differs. Dot-com companies were largely consumer-facing bets where demand was speculative. AI, by contrast, is being integrated into operations across industries very rapidly like finance, healthcare, manufacturing, legal services for huge productivity improvements. The fact that AI-related capital expenditure contributed 1.1% to U.S. GDP growth in the first half of 2025 (JP Morgan, 2025) suggests that the technology is generating real economic value, not only speculative excitement. This is a meaningful difference from the dot-com era, where the internet's impact on the economy became real with time, but the specific companies investors funded largely failed to capture the value directly.

4. The Consequences of AI's Future Development

There are many ongoing debates and research regarding the possible burst of the AI bubble. Nobel Prize winner Daron Acemoglu indicates that AI is not likely to make massive changes in the coming 10 years, and he adds that the possible GDP growth by AI in the USA will be around 1.1% to 1.6%. On the other hand, Goldman Sachs senior global economist Joseph Briggs reveals that AI could automate tasks accounting for around 25% of all work hours and could stimulate GDP growth by 7% (Goldman Sachs, 2024). They discuss the potential benefits of AI, thinking of it as an innovation like the internet. However, although AI is transforming almost every aspect of today's world, it can also lead to crises if the bubble bursts.

But how can we sense that it is coming, as the dot-com bubble did in 2000, or are we just too skeptical? If the AI boom were to unravel, it would likely begin with a gradual erosion of investor confidence. For instance, some misleading reports or balance sheets of AI or tech

companies could create a suspicious market environment, like the Enron Scandal, leading investors to question their investments. Or perhaps the tech giants' revenues do not meet expectations after their billions of dollars in investments in AI startups, OpenAI, or their monopolistic agreements. Or perhaps government actions could contribute to this; such as AI not being perceived as trustworthy in the long run, or interest rates rising, causing investors to stop injecting capital into this expensive sector. But what will happen in this case? Is the financial system of today ready to tackle this problem? It might be thought that central banks and governments have already learned a great deal from past crises and will not be caught off guard. Whether they are or not, there will be many significant effects on the market in either case.

The major US tech companies, known as the "Magnificent 7" (NVIDIA, Microsoft, Apple, Amazon, Google, Meta, Tesla), currently constitute 30% of the S&P 500 (CNBC, 2024). This means they are heavily concentrated and exert significant influence on the index. These companies rely heavily on expectations of future AI developments, and any unexpected circumstance or surprise can easily disrupt the chain, as they are quite fragile. For example, when DeepSeek launched, NVIDIA's stock decreased by 17% (CNBC, 2025). If earnings expectations go unmet, investors will likely rush to sell, unwilling to absorb further losses. In addition, a supply crisis in the industry or a geopolitical dispute leading to high inflation, but low demand (stagflation) could also cause investors to lose confidence in the long run and shift toward more tangible assets like gold. When all these possibilities come together, they could cut cash flow for AI startups and companies, eventually leading to their bankruptcy, and potentially triggering a broader recession.

If external factors like supply crises and stagflation arise in the coming years, companies would most likely cut expenses and reduce capital expenditures. The first thing they would likely cut is capital-heavy AI investments or experiments, as indicated in the Goldman Sachs Generative AI report (Goldman Sachs, 2024).

If the AI bubble were to burst like the dot-com bubble, the impact would likely be structurally smaller, since most AI investments are backed by cash and equity rather than debt, which was the case in 2000. But what happens when these tech giants lose money along with their shareholders and retail investors? First, banks would not be affected as heavily since they are not as involved in the industry as they were during the 2008 crisis. However, they would still suffer, as their assets include loans extended to companies for investment purposes. When companies and startups encounter financial difficulties, they may be unable to service their debts, leading banks to increase their loan loss provisions. This would decrease their equity and eventually constrain their liquidity and the volume of loans they can extend. If an atmosphere of panic develops around banks closely linked to tech companies, depositors may also seek to withdraw their funds, threatening those banks with fire sales or even bankruptcy — precisely the dynamic that brought down Silicon Valley Bank in 2023.

What would central banks and governments do in this case to implement monetary policy and ensure overall stability and trust? This situation is somewhat different from the 2008 crisis. There is greater uncertainty regarding the real trigger of a potential burst, since there are multiple possibilities and the environment is far more complex. Trade wars and global conflicts make it difficult to predict the future. These localized crises can lead to supply chain disruptions and an increase in costs for companies. When this combines with reduced consumer demand, it can create an environment similar to the 1970s oil crisis, which led to stagflation. In this case, the role of central banks would be particularly complicated, since they cannot simultaneously target both inflation and economic growth. Central banks can act as lenders of last resort and inject liquidity to support banks and restore confidence. However, another important dilemma is the moral hazard problem: if the central bank always intervenes to solve the problem, it may reinforce the belief that authorities will never allow the market to collapse, commonly referred to as the "Fed put."

Regarding the Bank of Canada (BoC), Canada is not as directly linked to the AI industry, but it is deeply tied to the US economy. Canadian banks also extend loans to technology companies. In such a crisis, the BoC would attempt to prevent a bank run by reinforcing deposit insurance (currently up to \$100,000 CAD). The real challenge the BoC would face is the policy dilemma of navigating monetary policy between inflation control and economic growth. Ultimately, the effectiveness of central bank responses will depend on the nature and speed of the crisis, and in a world of compounding uncertainties, there are no guaranteed playbooks.

Furthermore, the BoC's decisions are particularly constrained by Canada's elevated household debt-to-income ratios, with household debt exceeding 103% of GDP, the highest among G7 nations, and a highly sensitive housing market (IMF, 2024). Unlike the US, a significant share of Canadian wealth is tied to real estate; therefore, any tech-driven recession causing job losses could trigger a broader wave of mortgage defaults, making the Canadian financial system potentially more vulnerable to a prolonged downturn than its US counterpart.

Another aspect of this potential crisis is the possibility that it may not materialize at all. Given the many ongoing uncertainties, the AI bubble remains an unpredictable phenomenon, largely inferred from similar precedents in the past. It is also possible that we are entering a completely new era in which generative AI shapes almost every aspect of our lives, continues to develop in the coming years, creates new jobs while eliminating others, and significantly increases GDP, as Joseph Briggs suggests. Alternatively, it may not change our lives as much as expected, since AI does not truly think but rather relies on statistical patterns and available data to generate optimal solutions.

However, even in such a scenario, several risks may still arise. The increasing concentration of AI companies could become more pronounced over time. In addition, inflated valuations of AI startups may lead to losses in savings and potential defaults on loans, ultimately affecting the overall health of the economy. While AI-driven productivity gains may reduce production costs

and put downward pressure on inflation, they may simultaneously support economic growth. As a result, the core dynamics of the financial system may evolve in ways that make it more fragile and more sensitive to unprecedented shocks.

5. Conclusion

The question this paper answers, whether the AI boom is supported by fundamentals or reflects a speculative bubble does not have a clean and clear answer. What the evidence shows is more nuanced, and that is what makes it more concerning.

Based on our analysis, the concern that AI may be a speculative bubble is still valid. As we analyzed above, the AI boom is real. Capital expenditures are breaking records, stock returns have been extraordinary, and venture capital has been flooding with pre-revenue firms. Yet beneath these numbers lies a growing disconnect between what AI companies earn today and what markets expect them to earn in the future. These patterns echo the dot-com bubble of the late 1990s. However, we believe the AI boom is not a bubble, because unlike the dot-com era, meaningful structural differences, particularly the profitability of today's leading AI firms, the financial strength of their customer base and the rapid integration of AI into enterprise operations across industries, prevent a straightforward comparison. Therefore, we think there is sufficient evidence to conclude that AI represents a fundamental technological shift rather than pure speculation, but one whose value has been priced ahead of its actual delivery. The risk is not that AI is worthless, the internet was not worthless either, but that the gap between valuations and earnings leaves markets highly vulnerable to short-term disappointment.

The more likely scenario is a valuation correction rather than a full collapse; a painful but not catastrophic repricing as the market recalibrates expectations to match actual earnings delivery. The danger is that in a world of compounding uncertainties; trade tensions, geopolitical conflict, elevated household debt, and central banks caught between inflation and growth, even a correction can become something worse if the conditions are wrong. Canada illustrates this concretely with its very high household debt-to-income ratio; a tech-driven correction does not stay in equity markets, it risks leading to mortgages defaults and financial stress that the BoC cannot fully offset as it is caught between inflation and growth. Therefore, the honest answer to our research question is this: AI is a transformational technology, but financial markets appear to be pricing a version of that transformation that is both faster and more certain than the evidence supports. The gap between what AI companies earn today and what investors are paying for them is not a bubble in the classic sense: it is a bet. And like all bets, its outcome depends on whether the future arrives on schedule.

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